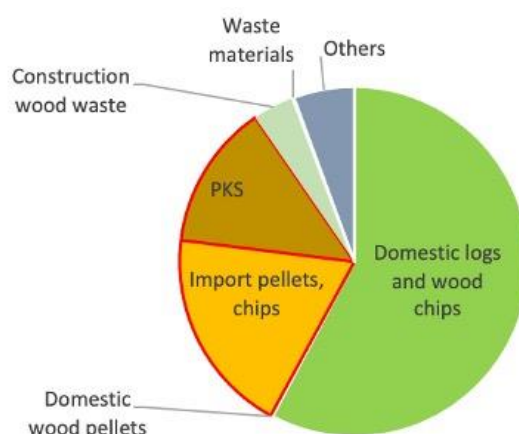


### 3. Perspective of supply and demand balance of wood pellets and cost structure in Japan

According to a survey taken by the Japan Woody Bioenergy Association in FY2018 (from April 2018 to March 2019) with 55 biomass power generators, more than half of fuel for biomass power generation is domestically produced wood biomass at present in Japan in terms of weight (Figure 4.5).

**Figure 4.5. Breakdown of Biomass Power Generation Fuel in Japan**



PKS = palm kernel shell.

Note: The share of fuel calculated in terms of biomass fuel weight ('Wood pellets', 'Construction wood waste', 'Waste materials', 'Others': tonne; others: dry tonne).

Source: Depicted by IEEJ based on Japan Woody Bioenergy Association (JWBA), 2020.

When translating the survey result into energy form, it is estimated that, within biomass power generation using wood biomass ('Unutilised wood', 'General wood', and 'Construction wood waste'), around 30% of input fuel is met by import biomass fuel (Figure 4.6).